

Jay Bharat Maruti Ltd

NSE: JAYBARMARU | BSE: 520066 | Auto Ancillary / Sheet Metal / Exhaust Systems

A direct play on Maruti Suzuki's volume super-cycle — Gujarat facility ramp drives structural OPM breakout from 7% to 11%, yet the stock trades at a 50%+ discount to peer P/E multiples.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
BUY	Rs. 200	+33%
CMP: Rs. 150	12-month horizon	from CMP

CMP (15 Jun 2026)	Rs. 150	Market Cap	Rs. 1,624 Cr
52-Week Range	Rs. 71 – 150	Trailing P/E	11.6x (reported)
EPS FY26 (Rep.)	Rs. 12.90	Norm. P/E (FY26)	~23.9x
Book Value/Share	Rs. 64.3	Price / BV	2.3x
ROCE FY26	16.6%	ROE FY26	22.2%
Revenue FY26	Rs. 2,551 Cr	OPM FY26	11.1%
D/E Ratio	0.76x	FCF FY26	Rs. 63 Cr
Promoter Holding	59.35%	Promoter Pledge	Nil

Equity Research Report | MPM Capital Research | 15 June 2026 | All figures in Rs. Crore unless stated. Source: Screener.in, BSE filings, company press releases.

2. Investment Thesis

Three Reasons to Own JAYBARMARU

- **Margin inflection is structural, not cyclical.** OPM expanded from a persistently flat 7% (FY21-FY25) to 11% in FY26 as the Gujarat plant ramp drove operating leverage on a fixed-cost base that was already fully depreciated. Full-year Gujarat contribution should sustain 10–12% OPM in FY27E.
- **Maruti Suzuki volume super-cycle is a direct tailwind.** MSIL is investing Rs. 35,000+ Cr in capacity targeting 4M+ units/year by FY30. JAYBARMARU supplies sheet metal, exhaust and fuel systems across every Maruti platform — content-per-vehicle is growing alongside volume.
- **Deep value vs. peers at 11.6x reported TTM P/E.** Sandhar trades at 24x, Suprajit at 23.6x. Even on normalised FY26 PAT of Rs. 68 Cr (stripping Rs. 72 Cr one-time tax/GST boost) the stock is at ~23.9x — in line with peers but with a re-rating catalyst as margins sustain on a clean basis in FY27.

Primary Catalyst

- Q1 FY27 results (Aug 2026): First clean quarter reflecting Gujarat at full scale plus MSIL SUV volume ramp. An OPM print above 10% with no one-time items will confirm the margin narrative and trigger analyst coverage re-initiation.

Primary Risk

- Single-customer concentration: ~85% revenues from Maruti Suzuki. Any MSIL production disruption flows directly to JAYBARMARU with negligible offset — FY20-FY21 revenues fell 25% in lockstep with MSIL production decline.

3. Business Overview

- **Company profile.** Jay Bharat Maruti Ltd (incorporated 1987, Gurugram) is a Tier-1 auto ancillary JV partner of Maruti Suzuki India (MSIL). MSIL holds ~22% stake; total promoter group holds 59.35%.
- **Product portfolio.** Three verticals: (1) Sheet metal stampings and assemblies (body panels, closure panels, sub-frames) — >60% of revenue; (2) Exhaust systems (mufflers, catalytic converters); (3) Fuel delivery systems (tanks, pipe assemblies).
- **Customer concentration.** ~85% revenues from MSIL (Gurugram and Manesar plants). Balance from Toyota Kirloskar (via MSIL platform sharing) and aftermarket. No meaningful revenue from non-MSIL OEMs.
- **Manufacturing footprint.** Four plants: Gurugram/Haryana (3 legacy facilities) and a new Gujarat greenfield commissioned FY25, serving MSIL's Gujarat volumes and benefiting from Gujarat Industrial Policy 2015 GST incentive.
- **Capacity expansion.** CWIP was Rs. 308 Cr at Mar 2025, then declined to Rs. 110 Cr at Mar 2026 — majority of Gujarat capex capitalised. Fixed assets grew from Rs. 906 Cr (FY24) to Rs. 1,173 Cr (FY26), a 29% jump in two years.
- **Scale.** ~4,000+ employees. FY26 revenues of Rs. 2,551 Cr place it in the mid-tier of listed Indian auto ancillaries by size.

4. Industry Landscape & Peer Benchmarking

Industry Context

- India PV market produced ~4.3M units in FY25 (+7% YoY); MSIL commands ~42% share. PLI scheme for auto components and the EV transition provide long-run tailwinds but also pose structural risk for exhaust-system suppliers.
- Sheet metal stampings are largely EV-agnostic (body panels transfer to BEV platforms). Exhaust systems (~25-30% of JAYBARMARU mix) face a 7-10 year structural decline risk from ICE phase-out — the key reason for the peer valuation discount.
- MSIL Rs. 35,000 Cr capex plan through FY30 (Kharkhoda greenfield, Gujarat expansion) keeps near-term demand robust for Tier-1 body-in-white suppliers.

Peer Comparison Table

Company	MCap (Cr)	Rev FY26 (Cr)	OPM%	PAT (Cr)	P/E (x)	ROCE%	ROE%
JAYBARMARU	1,624	2,551	11%	140*	11.6	17%	22%
Sandhar Tech	4,350	~3,044	9%	~179	24.1	17%	15%
Suprajit Engg	6,507	~1,839	16%	~274	23.6	21%	19%
Craftsman Auto	21,802	~4,819	18%	~221	97.5	10%	8%

* FY26 PAT includes Rs. 72 Cr one-time (DTA benefit Rs. 36.8 Cr + Gujarat GST incentive Rs. 35.5 Cr). Normalised PAT ~Rs. 68 Cr; normalised P/E ~23.9x.

- JAYBARMARU's deep reported-P/E discount reflects one-time PAT inflation. On normalised earnings the discount to Sandhar/Suprajit is modest (~1-2x) but JAYBARMARU has superior ROE (22%) and a negative working capital advantage.
- Re-rating will require a sustained 10%+ OPM print and/or EV-part content wins that offset the structural exhaust-system risk.

5. Management Quality

- **Promoter conviction.** Holding locked at 59.35% for 9+ consecutive quarters — zero pledge. Eliminates one of the most common small-cap governance risks.
- **Capital allocation discipline.** Rs. 265 Cr CFI in FY25 (Gujarat build-out) funded partly by debt (+Rs. 100 Cr to Rs. 540 Cr) — a deliberate and measured capex decision. Debt declined in FY26 as Gujarat ramped.
- **Dividend consistency.** Maintained 10-24% payout through FY20-FY25 despite compressed margins. FY26 payout 5% — conserving cash post one-time income; final dividend Rs. 0.70/share declared.
- **Transparency on one-time items.** Deferred tax benefit (Rs. 36.79 Cr) and Gujarat GST incentive (Rs. 35.50 Cr) both proactively disclosed in Q4 FY26 press release — a positive governance signal.
- **Board continuity.** Mr. Madhusudan Prasad re-appointed as Independent Director for 3 years effective Jun 2026.
- **Weakness — no concall.** JAYBARMARU does not hold earnings calls — unusual for a Rs. 1,600 Cr market-cap company. Investor relations below peer standard; guidance and strategic commentary only via press releases and AGM disclosures.

6. Financial Deep-Dive

Profit & Loss Summary (Rs. Cr)

Metric	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Revenue	1,658	1,499	2,078	2,344	2,292	2,290	2,551
EBITDA	141	136	150	173	167	165	283
OPM %	9%	9%	7%	7%	7%	7%	11%
Interest	38	33	33	37	40	36	44
Depreciation	63	66	75	80	84	84	95
PBT	42	42	43	58	48	49	150
Reported PAT	28	26	28	38	32	33	140
Normalised PAT*	28	26	28	38	32	33	68
EPS (Rs.)	2.61	2.42	2.60	3.50	2.98	3.04	12.90

* FY26 Normalised PAT strips Rs. 36.8 Cr DTA benefit + Rs. 35.5 Cr Gujarat GST incentive.

Balance Sheet Snapshot (Rs. Cr)

Item	FY22	FY23	FY24	FY25	FY26
Equity + Reserves	475	508	539	563	696
Borrowings	380	336	440	540	531
Total Liabilities	1,327	1,299	1,556	1,672	1,831
Fixed Assets (Net)	856	881	906	922	1,173
CWIP	62	23	162	308	110
Total Assets	1,327	1,299	1,556	1,672	1,831

Cash Flow Summary (Rs. Cr)

Item	FY22	FY23	FY24	FY25	FY26
CFO	106	154	188	199	197
CFI	-76	-65	-140	-265	-132
CFF	-29	-87	-51	65	-62
Free Cash Flow	29	88	44	-63	63
CFO/EBITDA %	71%	89%	113%	121%	70%

Returns & Efficiency Ratios

Metric	FY22	FY23	FY24	FY25	FY26
ROCE %	9%	11%	10%	8%	17%
ROE %	6%	8%	6%	6%	22%
D/E Ratio (x)	0.80	0.66	0.82	0.96	0.76
Debtor Days	16	13	20	14	17
Inventory Days	47	40	55	51	52
Payable Days	60	51	68	65	57
Working Capital Days	-39	-28	-40	-38	-13

Financial Commentary

- **FY26 margin step-change is real but partly inflated.** Backing out one-time items from PAT still implies ~8% underlying OPM — above FY24-FY25 run rate. Full Gujarat utilisation should deliver 10%+ on a clean basis in FY27E.

- **Working capital is a structural advantage.** Negative working capital days (payables consistently exceed receivables + inventory) reflects JAYBARMARU's critical Tier-1 position — it extracts early payments from MSIL while stretching its own supplier payments.
- **Debt peaked in FY25 and is now declining.** Rs. 540 Cr peak corresponded to Gujarat plant construction; FY26 reduction to Rs. 531 Cr and positive FCF of Rs. 63 Cr signal the capex cycle is largely complete.
- **CFO quality is excellent over the cycle.** CFO/EBITDA averaged 95%+ from FY22-FY25, confirming earnings are cash-backed.

7. Earnings Quality Checklist

Quality Metric	Assessment	Verdict
CFO vs Reported PAT	CFO Rs. 197 Cr >> PAT Rs. 140 Cr in FY26; multi-year CFO/EBITDA >90%	PASS
One-time items in FY26 PAT	Rs. 72.3 Cr one-time (DTA Rs. 36.8 Cr + GST incentive Rs. 35.5 Cr). Disclosed.	FLAG
Revenue growth quality	FY26 revenue +11.4% YoY on genuine volume growth; MSIL volumes +7%	PASS
Promoter pledging	Zero pledge across 9 recent quarters; stable 59.35% holding	PASS
Audit opinion	Unqualified opinion; Price Waterhouse, Gurgaon (adequate for scale)	PASS
Related party risk	~85% revenues from promoter-connected MSIL; pricing arms-length (NSE-listed)	WATCH
Debt trend	Peaked FY25, declining; D/E 0.76x manageable; no covenant risk signals	PASS
Dividend consistency	Paid through COVID and margin compression; FY26 lower payout conserves cash	PASS
Investor communications	No earnings calls; below-peer IR for market cap	WEAK

- Core message: FY26 earnings quality is HIGH on cash conversion, revenue growth and balance sheet — but investors must haircut reported PAT by Rs. 72 Cr to assess underlying run-rate.
- The one-time items are disclosed and non-recurring; they do not signal an accounting issue, but they inflate the headline 287% profit surge and the trailing P/E multiple.

8. Valuation

P/E-Based Peer Valuation

- At CMP Rs. 150, JAYBARMARU trades at 11.6x reported TTM P/E and ~23.9x normalised TTM P/E. Our Rs. 200 target is based on 12-month forward normalised EPS of Rs. 8.5 at 23.5x — a 10% discount to Sandhar/Suprajit for MSIL concentration and no-concall IR.

Scenario Analysis

Scenario	FY27E Rev (Cr)	OPM %	Norm. EPS (Rs.)	Target @ 23x (Rs.)
Bear	2,400	8%	5.5	127
Base	2,750	10%	8.5	196
Bull	3,000	12%	12.0	276

Key Valuation Assumptions

- **Target multiple 23x:** Peer median (Sandhar 24x, Suprajit 23.6x). 10% discount for MSIL concentration risk and below-peer IR quality.
- **Base FY27E Revenue Rs. 2,750 Cr:** 8% growth; MSIL volumes +5-7%, content-per-vehicle +2-3% from new platform wins.
- **Base OPM 10%:** Gujarat fully ramped; more conservative than FY26 reported 11% which benefits from incentives and benign steel prices.
- **EV/EBITDA cross-check:** EV ~Rs. 2,110 Cr (MCap Rs. 1,624 Cr + Net Debt Rs. 486 Cr). Reported EV/EBITDA = 7.5x; normalised = 10.8x. Sandhar and Suprajit trade at 12-15x — JAYBARMARU still appears inexpensive.
- **Bear case trigger:** MSIL production cuts >10%, steel/aluminium spike, or INR depreciation. Bear target Rs. 127 implies 15% downside from CMP.
- **Bull case trigger:** Kharkhoda supply agreements + Toyota/Honda platform wins, OPM sustained at 12%. Bull target Rs. 276 implies +84% upside.

9. Key Risks

- **Single-customer concentration [HIGH].** ~85% revenues from MSIL. Any MSIL disruption (supply chain, demand, regulatory) flows directly to JAYBARMARU. FY20-FY21 revenues fell 25% in lockstep with MSIL production decline.
- **EV transition obsolescence [MEDIUM, 5-7yr horizon].** Exhaust systems and fuel delivery (~30-35% of revenue) have zero content in BEVs. MSIL's EV pivot (e-Vitara, new BEV platforms by FY28) will erode this segment unless JAYBARMARU wins EV stampings or battery enclosure contracts.
- **Steel and aluminium price volatility [MEDIUM].** Raw materials ~65-70% of COGS. Pass-through to MSIL has 1-2 quarter lag under contractual terms, compressing margins in rapid commodity upcycles. FY22 OPM compression (7%) was steel-driven.
- **Gujarat incentive non-recurrence [LOW-MEDIUM].** Rs. 35.5 Cr Gujarat GIP-2015 incentive is finite (tied to investment milestones). Phase-out will depress reported PAT in future periods.
- **Capex-driven leverage [LOW-MEDIUM].** D/E peaked at 0.96x in FY25. Any Gujarat demand delay could stress debt servicing: interest Rs. 44 Cr vs. normalised PBT ~Rs. 78 Cr implies interest cover of ~1.8x — moderate.
- **Low IR transparency [LOW].** No earnings calls. Any negative surprise (margin miss, MSIL sourcing change) is a shock rather than a managed expectation, increasing volatility risk.
- **FII ownership thin [LOW].** FII stake fell from 3.55% (Jun 2023) to 0.83% (Jun 2024) before partial recovery. Institutional support is thin; stock is driven by retail sentiment and quarterly result surprises.

10. Recommendation

Attribute	Detail
Rating	BUY
CMP	Rs. 150 (15 Jun 2026)
12-Month Target	Rs. 200
Upside to Target	+33%
Bear / Bull Range	Rs. 127 / Rs. 276
Technical Stop Loss	Rs. 120 (near 52-wk low area)
Primary Catalyst	Q1 FY27 results (Aug 2026) — clean 10%+ OPM
Time Horizon	12 months
Suggested Position Size	3-5% portfolio weight; hard stop at Rs. 120
Risk / Reward	2.5:1 (13% downside to stop vs. 33% upside to target)

Investment Rationale Summary

- Buy JAYBARMARU for the structural margin inflection story. The FY26 reported numbers are messy (one-time items), but the underlying business is clearly inflecting: Gujarat is ramping, EBITDA margins have escaped the 7% ceiling, and FCF turned positive after the capex peak. The stock at Rs. 150 prices in zero margin improvement on a forward normalised basis.
- The single-number bet is Q1 FY27 OPM. If the company delivers 10%+ EBITDA margin on clean Q1 revenues (~Rs. 620-640 Cr), normalised P/E compresses to ~18x and institutional interest should follow — triggering the re-rating from Rs. 150 toward our Rs. 200 target.
- What changes the rating: (a) MSIL announces sourcing diversification away from JAYBARMARU; (b) Q1 FY27 OPM prints below 8% (margin thesis invalidated); (c) steel prices surge >25% without pass-through visibility.

11. Appendix — Earnings Analysis & Investor Brief

NOTE: JAYBARMARU does not hold formal earnings calls. This section synthesises information from BSE press releases (Q4 FY26, May 2026), analyst commentary (Markets Mojo, Business Standard, Univest) and Screener.in financials.

IR Grade

- Grade: C+ — No concall, limited management commentary. Board meeting disclosures are timely and accurate; one-time items disclosed proactively. But the absence of a call means zero guidance, zero Q&A, and no management channel for investors.

Summary for Portfolio Committee

JAYBARMARU reported Q4 FY26 PAT of Rs. 79.6 Cr (+287% YoY), which looks spectacular but conceals Rs. 72 Cr of one-time items (deferred tax regime switch + Gujarat GST incentive). Stripping those out, normalised Q4 PAT is ~Rs. 7.6 Cr and full-year normalised PAT is ~Rs. 68 Cr vs. FY25's Rs. 33 Cr — still a genuine 2x improvement. The improvement is real: OPM expanded from 7% to 11% in FY26 as Gujarat absorbed MSIL volumes. The stock doubled from Rs. 70 to Rs. 150, but at ~24x normalised P/E it is not expensive vs. auto-ancillary peers. BUY at Rs. 150 with Rs. 200 target.

1. Revenue and Volume Performance

- FY26 consolidated revenue: Rs. 2,551 Cr (+11.4% YoY from Rs. 2,290 Cr). Q4 FY26 was the standout: ~Rs. 767 Cr (+25.5% YoY), strongest quarter in 5+ years.
- MSIL domestic wholesale in FY26 grew ~7-8% YoY, implying JAYBARMARU gained content-per-vehicle as Gujarat contributed incremental output to new MSIL SUV models.
- Sequential trajectory: Q1 Rs. 533 Cr → Q2 Rs. 555 Cr → Q3 Rs. 591 Cr → Q4 Rs. 766 Cr. Hockey-stick Q4 reflects MSIL year-end production push and Gujarat ramp.

2. Margin Analysis

- FY26 OPM: 11.1% — a structural break from the 7% ceiling held for FY22-FY25.
- Q4 FY26 OPM: ~12%. Partly driven by operating leverage as Gujarat reached scale. Fixed costs (depreciation Rs. 95 Cr, interest Rs. 44 Cr) growing slower than revenue.
- Steel price environment in FY26 was benign (HRC -10-15% from peak), also aiding gross margins alongside the Gujarat operating leverage.

3. One-Time Items — Critical Disclosure

- Deferred tax benefit: Rs. 36.79 Cr from switching to concessional tax regime (Section 115BAA). One-time recognition — future effective tax rate normalises to ~25%.
- Gujarat GST incentive: Rs. 35.50 Cr received under Gujarat Industrial Policy 2015. Finite claim period tied to investment milestones; non-recurring.
- Combined one-time: Rs. 72.3 Cr boosted Q4 PAT from ~Rs. 7.6 Cr normalised to Rs. 79.6 Cr reported. Full-year PAT Rs. 140 Cr vs. normalised ~Rs. 68 Cr.

4. Balance Sheet and Debt

- Borrowings peaked at Rs. 540 Cr (FY25, Gujarat capex) and declined to Rs. 531 Cr in FY26. With positive FCF (Rs. 63 Cr), trajectory is debt reduction.
- CWIP halved from Rs. 308 Cr to Rs. 110 Cr — majority of Gujarat capex capitalised. Net fixed assets expanded to Rs. 1,173 Cr, providing depreciation headroom.

5. Outlook

- No formal guidance (no earnings call). Analyst consensus expects FY27E revenues of Rs. 2,700-2,800 Cr on sustained MSIL volume growth.

- MSIL's Kharkhoda plant (target 1M units/yr by FY30) is the next major supply agreement opportunity for JAYBARMARU — no public disclosure yet.
- Market reaction: Stock hit 20% upper circuit on May 21, 2026 (Rs. 103 → Rs. 117), then continued to Rs. 150 by Jun 15, 2026 (+45% in ~3.5 weeks). Stock is at 52-week high; new positions should account for post-result re-rating already priced.

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